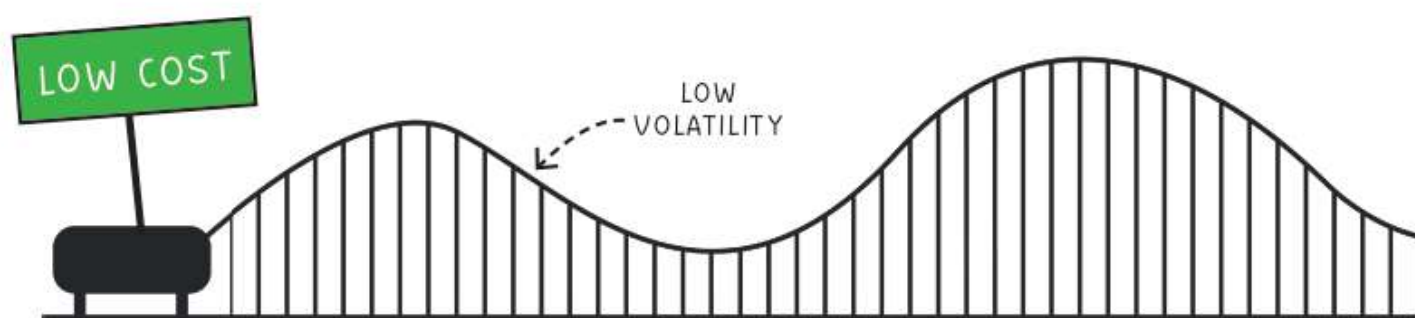
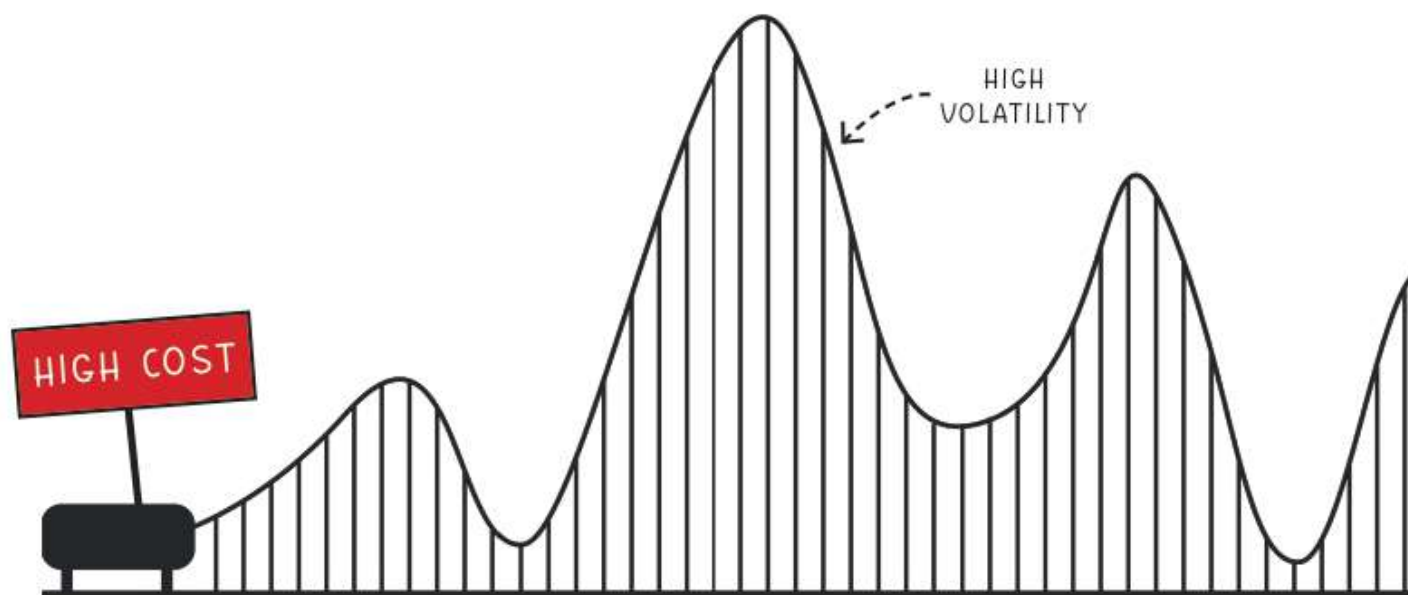


Now, as we studied in the option pricing chapter. One of the factors that affect option pricing is volatility. Since a straddle is based on volatility expected in the market, the cost of the straddle may change. So, if the market is highly volatile, the cost of straddle increases. The cost of straddle therefore is high when the market as a whole expects high volatility going ahead.



Similarly, as the market shows low volatility, the premium received from short straddle would be reduced.

We can even get creative with this strategy by buying different call options and put options. We can modify the strategy and experiment and evaluate payoffs, risk and reward under different circumstances.